PAGERO

Country Compliance Report:

Cyprus

Information class: Restricted

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Content

Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.

1. Terminology

This section outlines general and country-specific terminology for Cyprus, which will be used throughout the whole document.

Term	Explanation
B2B	Business-to-Business is a transaction or business conducted between one business and another, such as a wholesaler and retailer
B2C	Business-to-Consumer normally refers to the process of businesses selling products and services directly to consumers, with no middleman i.e. supplier to consumer.
B2G	Business-to-Government refers to the business relationship a company selling products, services or information to governments or government agencies
Post Audit	A model where the Trading Partners are allowed to exchange e-invoices and perform obligations without a requirement for prior clearance of such issuance or other actions with the (tax) authorities. Instead, transactions are reported to the authorities after they have taken place.
Validation of eSignature	means the process of verifying and confirming that an electronic signature or a seal is valid.

2. General overview

This section provides an initial introduction into the local eInvoicing environment within Cyprus, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	• Ministry of Finance • Cyprus Tax Authorities (Commissioner of VAT) • Treasury of the Republic of Cyprus • Department of Electronic Communications
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	• Cyprus VAT law

3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	• Allowed
Varying invoicing regimes[1]	• Same regime for both B2B and B2G
e-Invoicing model	• Post-Audit
e-Invoice definition[2]	• An eInvoice is an invoice which includes all the information as per regulation 12 of the Cyprus VAT law and has been issued or received in an electronic form
Scope of taxpayers the e-document mandate applies to	• B2G suppliers were anticipated in the e-invoicing scope for January 2022, but this has been postponed[3]. No further date has been announced yet.
Mandatory AoR (document response) process	• No explicit requirements
Implementation / roll-out plan	• Cyprus has not expressed any plans to implement/roll-out any new e-invoicing regimes or CTC models

[1] It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others
[2] Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law
[3] Draft under consultation

4. Before switching to e-invoices

4.1. IT[4] registration

The following thresholds apply to the requirement to be registered for a IT number in Cyprus:

- Exemption for small businesses – EUR 15.600
- Application of the special scheme for acquisitions by taxable persons not entitled to deduct input tax and by non-taxable legal persons – EUR 10.251
- Application of the special scheme for distance selling – EUR 10.000

Please note that the thresholds stated above are not an exhaustive list of circumstances requiring local IT registration.

Cyprus IT number format: CY 12345678X where the last character must always be a letter

4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

Item	Commentary
Actions towards authorities, required in order to enable electronic processing instead of conventional processing	• No explicit requirements
Actions between the trading partners, e.g. customer acceptance, agreement, etc.	• Buyer's consent is required, however, can be as a tacit acceptance or by paying the invoice
Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed	• Allowed. However, the invoicing content, archive and distribution (i.e.

[4] For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

	ensure authenticity and integrity) requirements must be followed

4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
Whether outsourcing of invoice issuance (creation) is allowed or not	• No explicit requirements
Whether statement of outsourced issuance is required on the invoice	• No explicit requirements
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	• No explicit requirements
Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	• No explicit requirements
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	• No
Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer	• No explicit requirements

4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

Cyprus has no explicit requirements on the outsourcing of the function of receiving invoices (similar to the function to issue invoices as outlined above).

5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	B2G	B2B
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	• N.a.	• N.a.
Other document format(s) commonly used for exchange between trading parties	• Peppol BIS, PDF, XML	• PDF, Word
Mandated platform(s) required to have connection with for e-document processing	• N.a.	• N.a.
Other platform(s) relevant for e-document processing	• Ariadni • Cyprus National eInvoicing Platform (under development)	• N.a.
Schematron(s), XSD schema or other official mechanisms ensuring document content	• N.a.	• N.a.

Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange	• N.a.	• N.a.
Other technical aspects	• N.a.	• N.a.

5.2. Communication methods

Regulations in Cyprus foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

There is no mandatory infrastructure(s) in Cyprus.

Communication options	Commentary
Automated	• N.a.
Manual	• N.a.
Other options	• N.a.

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

5.3.1. Domestic documents

This section describes the process for documents created to be transmitted within the given country

(1) Documents can be exchanged with your suppliers and customers in various formats and via various exchange mechanisms, due to business-related preferences

(2) The key requirements are to ensure the Cyprus-specific document content, document integrity and authenticity, as well as archiving requirements are fulfilled

5.3.2. Cross-Border

This section describes the requirements for cross-border outbound documents such as sales invoices

No explicit requirements of cross border e-invoicing.

5.4. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country

(1) Documents can be exchanged with your suppliers and customers in various formats and via various exchange mechanisms, due to business-related preferences
(2) The key requirements are to ensure the Cyprus-specific document content, document integrity and authenticity, as well as archiving requirements are fulfilled

5.4.2. Cross-Border

This section describes the requirements for cross-border inbound documents such as purchase invoices.

No explicit requirements of cross border e-invoicing.

5.5. AoR (response) process

No explicit requirements for Approve or Reject response messages.

5.6. Mandatory infrastructure validations

Some tax regimes require businesses to send tax documents to a predetermined hub either before, shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi approved, etc.

In Cyprus, there is no mandatory infrastructure conducting validations.

5.7. Invoice presentation / copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

To distinguish duplicate invoices from originals, stamp "True Copy" and signature is needed. Only the original invoice can be used as a basis for claiming input VAT or a signed/certified true copy of the original.

Issuing a PDF Presentation (a human-readable duplicate) when Tax invoices are issued in machine-readable format files can be confusing. To ensure the correct management of original documents, in addition to technical controls, Pagero Online adds “Copy Tax Invoice” on PDF Presentations where Tax invoices have been issued as machine-readable format files.

5.8. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

Item	Commentary
Push communication	• No explicit requirements
Pull communication	• No explicit requirements
E-mail distribution	• Allowed
Webportal[5]	• Allowed
Scanning inbound invoices	• Allowed for processing but not for storage purposes, the original invoice in its received format is required to be stored
Scanning outbound invoicing	• Allowed for processing, but not for storage purposes, the original invoice in its received format is required to be stored

5.9. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

Rectification process	
What are the options to correct an invoice if an incorrect IT rate, exemption or reverse charge is applied on the invoice	• Credit note
What are the options to correct an invoice if the customer returns the goods	• Credit note
What are the options to correct an invoice if the customer paid too much	• Other • If the invoice is correct but the customer paid too much then a credit note should not be issued.
What are the options to correct an invoice if the supplier agrees to a discount after the invoice was issued to the customer	• Credit note

[5] Note, however, that prior to using and external portal, like Pagero's Webportal, Suppliers are required to already have an invoice / invoice data in their internal accounting software. Portals are not designed for the purpose of replacing internal accounting but are a mechanism to make invoices available for the Buyer. Recommended only for businesses issuing fewer than 100 invoices annually.

What are the options to correct an invoice if the invoice misses data such as name, address, IT number, invoice reference, etc.	• Invoice cancellation
Other scenarios with different correction option	• When upon inspection of the items delivered they are deemed to be damaged and thus a reduced price is agreed. In this case, a credit note must be issued.
Party entitled to issue a credit note if the invoice was issued by the supplier (i.e. no self-billing)	• Supplier
Allowed to draft a 'waiting' document/interim document' in the absence of a purchase invoice and report IT as due and deductible on the basis of this document	• No • A draft invoice may be issued, however, an official invoice is required in order to deduct input VAT

5.10. Coexistence of paper and electronic invoices

Item	Commentary
Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it	• Allowed • Both must be stored in the same format they have been delivered.
Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving	• No • Invoices received or sent on paper must be stored in the form they were received in. (Destruction of the original source file is not allowed)
Whether any conditions apply, and which, to the dematerialisation	• N.a.
Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e. destruction of the original electronic document, for processing and/or archiving	• No • Invoices received or sent by electronic means must be stored electronically. (Destruction of the original source file is not allowed)
Whether any conditions apply, and which, to the materialisation	• N.a.

5.11. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available, or allowed, to facilitate invoicing during the downtime.

There are no specific prescriptions in this respect in Cyprus.

6. Document content requirements

6.1. Document types

Item	Commentary
Documents mandatory for issuance by supplier	• Complete invoice • Simplified invoice • Credit note
Documents mandatory for issuance by buyer	• Not explicit requirement

Item	Commentary
Self-billing allowed	• Yes
Simplified invoice allowed	• Yes • Retailers may issue what is known as a retail invoice which is simplified and provided does relate to a transactions towards a person established in another EU Member State

6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

6.2.1. Document numbering by the taxpayer

Item	Commentary
A sequential number, based on one or more series, which uniquely identifies the invoice	• Yes
Different series of sequential numbers allowed (e.g. a separate sequential numbering for intercompany billings, credit notes, etc.)	• Yes

Allowed to start a new sequential numbering every year	• Yes
Worldwide numbering on legal entity level allowed provided that gaps can be explained	• Yes
Required that the numbers follow the date of issuance (i.e. is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)	• Yes

6.2.2. Additional document numbering

This section should outline any additional numbering, e.g. provided in addition by the tax authority or that must be generated by the taxpayer based on specific specifications.

6.3. Indirect tax (IT)[6] rates

This section illustrates the applied IT[7] rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

Indirect tax rates		
19%	**Standard**	All other taxable goods and services.
9%	**Reduced**	Restaurant services (excluding the supply of alcoholic drinks), Taxi fares, Hotel accommodation (including provision of breakfast and/or half-board and/or full board, and/or a combined service that includes, in addition to accommodation, the provision of other catering facilities, such as alcoholic drinks).
5%	**Reduced**	Services provided by undertakers, Services of writers and composers, Refuse collection, Waste treatment, Road cleaning, Fertilizers, Animal feeding stuffs, Liquefied petroleum gas, Various goods for incapacitated persons, Bus fares for rural and urban areas, Newspapers, books, magazines and similar items, Ice cream, chips and salted nuts, Water, Medicines, Food (except supplied in the course of catering), Purchase, construction or renovation of a house or flat to be used as a private main residence.
3%	**Reduced**	Books, newspapers, and magazines, including electronic publications and talking books for people with disabilities (reduced rate will not apply to advertising materials, publications consisting primarily of video or audio, and to non-profit organizations), Special lifting devices for people with disabilities (e.g., stairs, lifts, hoists), Wheelchair carriages and other vehicles for people with disabilities, Medical devices, including orthopedic articles and apparatus, prosthetic items, hearing aids, medical surgical belts, bandages and

[6] For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.
[7] Local name: Fóros Prastithémenes Axías

		crutches, splints, braces and other articles and devices for fractures, Street cleaning, waste collection and waste treatment services, provided by non-governmental entities, Wastewater disposal and treatment and emptying of septic and industrial tanks, Admission to theatres, concerts, and similar cultural events and facilities, Considering amendments of VAT rates, we recommend proceeding with the adjustment of your accounting systems and invoicing procedures for timely application of the updated VAT rates.
0%	**Zero**	Supply, lease and repair of seagoing vehicles and aircraft and related services. International transport of persons. Exports of goods outside the EU and related services. Intra-Community supplies of goods and intangible services supplied to another taxable person established in the EU or to recipients outside the EU, Braille typewriters, including any special electronic typewriters and new type embossing typewriters for people with disabilities, Wheelchair carriages and other vehicles that are intended exclusively for the personal use of people with disabilities.
	Exempt	Real estate (except: "new buildings," transfer of non-developed building land intended for the construction of structures in the course of carrying out a business activity, and leasing of immovable property to taxable persons for taxable business activities, for which a permanent non-imposition of VAT can be exercised by the lessor), Services of doctors and dentists, Social welfare, Finance (except "SWIFT" services), Insurance, Human organs, Education services

6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of Cyprus. Please note that other additional content requirements might apply in addition, i.a. of technical character.

General	
Required to mention the word "invoice"	• Yes. Not mentioned in the VAT Law but it is an effective requirement.
Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:	• No, but translation can be requested. The Tax Commissioner may request a translation and this translation must be issued within 30 days from the date requested.
Sequential numbering	• Yes. A unique number is required. It is recommended that sequential numberings are used. In practice, sequential numberings is something the Tax Authorities look at regularly during a VAT

	investigation even though it is not mandatory as per law.
Required to mention copy or duplicate in case a copy is issued	• Yes, stamp "true copy" and signature is needed
Reference in case of outsourced issuance	• No information is currently available

Supplier data	
Full legal name of the supplier	• Yes
Allowed to abbreviate or shorten the legal name of the supplier	• No. Unless also mention the trade name registered with the Cyprus Tax Authorities.
Full address of the supplier in country of establishment	• Yes
Allowed to mention the PO box address instead of the legal address of the supplier	• No, unless the legal address is mentioned as well and it is clearly indicated
IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes	• Yes, if a registration is available in the country of supply.
IT identification number of the supplier in the country of establishment	• Yes
Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)	• Yes
Legal form of the supplier	• Yes
Trade register number of the supplier	• No
Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)	• No
Place of legal seat of the supplier (Headquarters)	• No
Other supplier data	• No

Customer data	
Full legal name of the customer	• Yes
Allowed to abbreviate or shorten the legal name of the customer	• No
Address of the customer in country of establishment	• Yes
Bill-to address when it is different from the registered address of the customer	• Yes. The address should be the establishment that is related to the supply. The address should be the address of the headquarters of the Company or the address of the establishment that the supply relates.

Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer	• Yes. Recommended that both addresses are mentioned on the invoice.
IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)	• Yes
IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies	• Yes, if available
IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies	• Yes
Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)	• Yes. However , the name of the company also has to be mentioned on the face of the invoice in addition to the Fiscal Representative details.
Other customer data	• No

Transaction data	
Date of issue	• Yes. The issuing of invoices must be done within thirty days from the date of the transaction.
Date of supply (chargeable event)	• Yes
Date of prepayment	• No
Description of the goods/services	• Yes
Quantity of the goods supplied or the extent of the services supplied	• Yes
Purchase order number	• No
Shipped from location (for the supply of goods)	• No, but recommended in order to prove intracommunity dispatch. Additional proof of transport documentation will also be required to be stored. • Especially in case of cross-border transactions
Shipped to location (for the supply of goods)	• No, but recommended in order to prove intracommunity dispatch. Additional proof of transport documentation will also be required to be stored. • Especially in case of cross-border transactions
Status of the goods (e.g. in bond, in free circulation)	• No, but recommended
Incoterms	• No, but recommended

Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)	• N.a.

Financial data	
Taxable base per item (unit price excl. IT)	• Yes
Total taxable base per IT rate or exemption	• Yes
IT rate applied	• Yes
Total IT amount calculated per rate	• Yes
Total IT amount payable	• Yes
Discounts/rebates if not included in the unit price	• Yes
Total gross amount (including IT)	• Yes
Mandatory to mention the total IT amount due in the national currency	• Yes
Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country	• The amount before VAT
Exchange rate (if the invoice is not issued in the local currency)	• Yes
Which exchange rate must be applied in order of priority	• The exchange market rate or the rate issued by the Department of Customs and Excise
Terms of payment	• No
IBAN and BIC number of supplier	• No

Specific references for invoices	
Invoice reference in case of IT exemption or reverse charge	• Yes
List the required references in case of exemption or reverse charge	• The following wordings are required according to different cases: - "Reverse Charge" where the customer is obliged to account for VAT - "Cash Accounting" where the VAT must be accounted based on the cash accounting regime. - "Self billing" if it is approved for the customer to issue invoices on behalf of the supplier. - "Reverse Charge" - based on the provisions of Article 11B of the Cyprus VAT Law" if the services related to construction services related to

	immovable property where the customer must account for VAT.* -"Reverse Charge" - based on the provisions of 11E" for supplies of mobile phones, game consoles, laptops etc. where there is a domestic reverse charge.* - "TOMS transaction" if the transaction falls under the TOMS provisions. - "Triangular transaction" if the transactions qualifies for triangulation. - "Margin Scheme second hand goods/second hand means of transport/works of art, collector's items or antiques" according to each case. • Generally for reverse charge transactions where the customer must account for VAT, the Law only requires to reference the words "Reverse Charge" on the invoice. However, it is recommended to further supplement this wording with reference to the specific Article of the Law for each case as above in order to distinguish between different types of transactions.
Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - " supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for triangular sales - article 141 VAT Directive - " Transfer of own goods- article 17 VAT Directive"?	• No. It is compulsory to use the references mentioned above in the previous questions based on Cyprus VAT Law, but it will also be acceptable if references made of the EU VAT Directive.
Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable	• Yes
Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions	• No
Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)	• No

Specific references required in case invoicing is outsourced	• No specific provisions mentioned in the Cyprus law.
Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment	• Yes
Other specific requirements/references to be mentioned on an invoice	• No

6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

Simplified invoicing	
Possible to issue simplified invoices for certain supplies	• Yes. • Retailers may issue what is known as a retail invoice which is simplified and provided does relate to a transactions towards a person established in another EU Member State.
Maximum amount for simplified invoices	• EUR 85,00
Other supplies for which a simplified invoice can be issued	• No
Simplified invoices limited to certain type of supplies	• Yes, retailers
Simplified invoices not allowed for certain transactions	• Yes. Exempt transactions
Minimum content requirements on a simplified invoice	• Name,address and VAT number of the retailer • Date of issue • Description of goods/services • Total invoiced amount inclusive of VAT • The amount payable for each VAT rate
Invoices subject to the national invoice requirements (not self-bills)	• Invoices issued by an established supplier that is taxable in another country but where VAT is due by the customer • Invoices issued by an established supplier that is taxable in another country but where VAT is due by the supplier

	• Invoices issued by an established supplier that are taxable in Cyprus
(other) Invoices subject to the national invoice requirements (not self-bills)	• N.a.

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

6.6. Rectification document

In Cyprus, credit notes must be issued as rectification documents. A credit note should include at least the following information:

Specific references for rectification documents	
Must the word "credit note" be mentioned	• Yes
Reference to original invoice required on a credit note	• Invoice number and date. If this is not possible then the issuer must be in a position to prove to the Tax Commissioner that the VAT on the original transaction had been accounted for
Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')	• No
Reason for credit required	• Yes

Sequential numbering	
Separate sequential credit note numbering required	• Yes. A unique number is required. It is recommended that sequential numberings are used. In practice, sequential numberings is something the Tax Authorities look at regularly during a VAT investigation even though it is not mandatory as per law
Allowed to issue one credit note to correct different invoices	• Yes. It is recommended that on the credit note mentioned the numbers and dates of issue of the original invoices

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.

6.7. Optional content

This section outlines briefly whether and how the trading parties can provide additional content in the technical e-document format mandated or otherwise prescribed in the specific jurisdiction.

Not explicitly regulated in Cyprus.

7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	• Required	• Required
Which methods for ensuring I&A are provisioned for	• Any means Business Controls, EDI, e-signature	• Any means Business Controls, EDI or e-signature Validation accepted
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	• No explicit requirements	• No explicit requirements

7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for eDocuments as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

Item	Commentary
e-Signature technical requirements	• Minimum AES is common
Automated e-signing	• No explicit requirements
Time-stamping of e-signature	• No explicit requirements

7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

Item	Commentary
Validation upon receipt	• No explicit requirements. However, meeting eIDAS regulation is common.
Time-stamping of validation data	• No explicit requirements

8. Document retention

This section describes archiving requirements regarding the eInvoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)	• The invoice, eSignature or other I&A evidence
Requirements to present stored documents in a specific audit format	• No requirements for capabilities to transform to audit format
Legibility, i.e. the ability to read stored e-documents by an untrained eye	• Required
Legibility requirements	• If the original eInvoice is in machine-readable format, the taxable person must offer means to provide human-readability
Retention period for invoices not related to immovable property[8]	• Stored for 6 years. (for MOSS system 10 years). • Tax Authorities have the right to go back up to 12 years and request information in case where they believe that there is fraud or fraudulent activity
Start point of retention period calculation for invoices not related to immovable property	• Invoice date. • Not specified in VAT Law, however, in practice this date of issue of the invoice is taken as the starting point.
Retention period for e- invoices related to immovable property	• 6 years
Start point of retention period calculation for invoices related to immovable property	• Invoice date. • Not specified in VAT Law, however, in practice this date of issue of the invoice is taken as the starting point.

[8] Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

Retention period for other than regular invoices or invoices related to immovable property (if existing):	• MOSS[9] system 10 years
Start point of retention period calculation for other than regular invoices or invoices related to immovable property:	• From the end of the year in which the transaction was made, regardless of whether they have stopped using the scheme or not.
Outsourced archiving	• Allowed
Archiving abroad[10] and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty	• Yes, but only in case there is an agreement on mutual assistance with the storage country. The Tax Commissioner should also be notified beforehand
Other requirements in relation to electronic document retention	• N.a.

[9] Mini One Stop Shop

[10] In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.

9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	• No explicit requirements
Rectification document	• Yes, see section 6.6 above
Payment instruction	• No explicit requirements
SAF-T (or alike) reporting	• No explicit requirements
Transportation documents	• No explicit requirements
Other	• N.a.

10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

10.1. Public procurement

Cyprus eProcurement Platform (e-PPS) is a web-based system to facilitate the full lifecycle of a tendering process, for both trading parties. All public procurement procedures foreseen by the law are supported there.

10.2. Indirect tax reports

There are no transactional reporting requirements in Cyprus.

Taxpayers in Cyprus are required to submit their VAT tax returns only through the online system- TAXISnet.

10.3. Implementation of Directive 2014/55/EU

The Ministry of Finance is participating a co-financed programme with the European Commission through which the appropriate technical infrastructure will be developed allowing for the establishment of the appropriate administrative and regulatory framework, ensuring the exchange of electronic invoices between the private and public sector (B2G).

The aim of the project is to allow the adoption of electronic invoicing, using two key ingredients that will enable companies to submit electronic invoices to the government. This will be achieved through the adoption of European and international standards and through (PEPPOL) Access Point. In accordance with Directive 2014/55/EU, Cyprus is obliged to be able to send and receive electronic invoices in the public sector on 18/04/2019 for the central government and on 18/04/2020 for the remaining public-sector entities.

To help facility entities to send eInvoices to Government authorities, the Cypriot government is developing a National eInvoicing Platform which will follow the PEPPOL CIUS. The relevant legislation is being prepared and needs to gain approval from the House of Representatives for it to become part of Cypriot legislation. The Cyprus Treasury of the Republic is responsible for the implementation of this new legislation.

The central government is doing the last preparations, since, according to EU Directive 2014/55, it should be technically ready to implement e-invoicing within the month.

Also, in line with the directive, the wider public sector should be ready to fully implement e-invoicing in April 2020

10.4. Governmental platforms

CY e-invoicing (National e-invoicing platform)

The project was carried out by a consortium involving representatives from the public and private sector. From the public sector, the representatives are the Ministry of Finance (Coordinator), the Ministry of Energy, Trade, Industry and Tourism, Ministry of Transport, Communications and Works (Department of Postal Services), the Cyprus Organization for Standardization and the representatives from the private sector are RTD TALOS Ltd, Deloitte Ltd and AC Goldman Solutions & Services Ltd. The whole project consists of 6 activities with a starting date 01/10/2016 and completion date 31/12/2017.

The aim of the project is to allow the adoption of electronic invoicing, using two key ingredients that will enable companies to submit electronic invoices to the government. This will be achieved through the adoption of European and international standards and through its PEPPOL Access Point.

CY e-invoicing Local Authorities

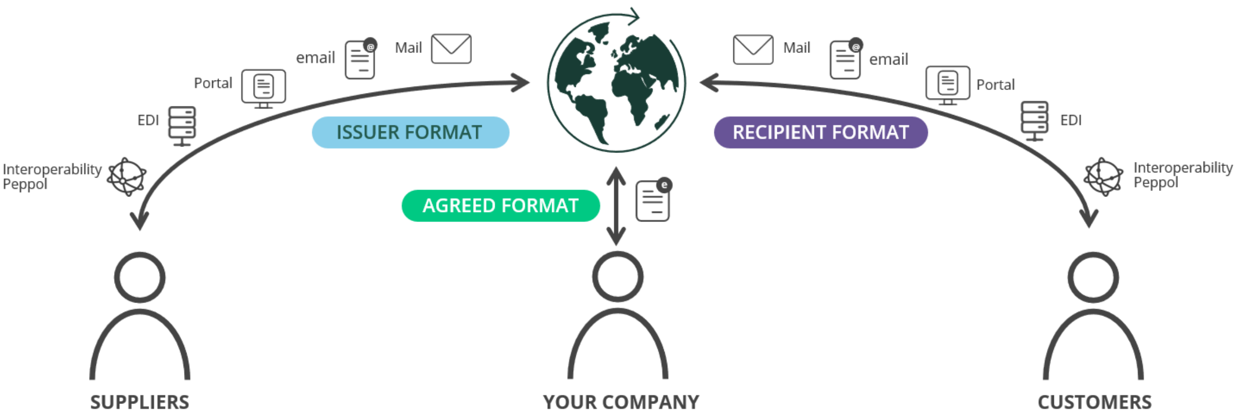
Cy e-Invoicing Local Authorities is a natural follow-up to the Cy e-Invoicing project based largely on its findings and results.

The main objective of the project is to map existing processes and to recognize the needs of local authorities in order to be able to receive Electronic Invoices by April 2020. The project can also be used to counter tax evasion, since according to Interior Minister Konstantinos Petrides, in the first stage e-Invoicing will be optional, but in a second stage and after a test period, it will be mandatory.

11. Country-specific processing

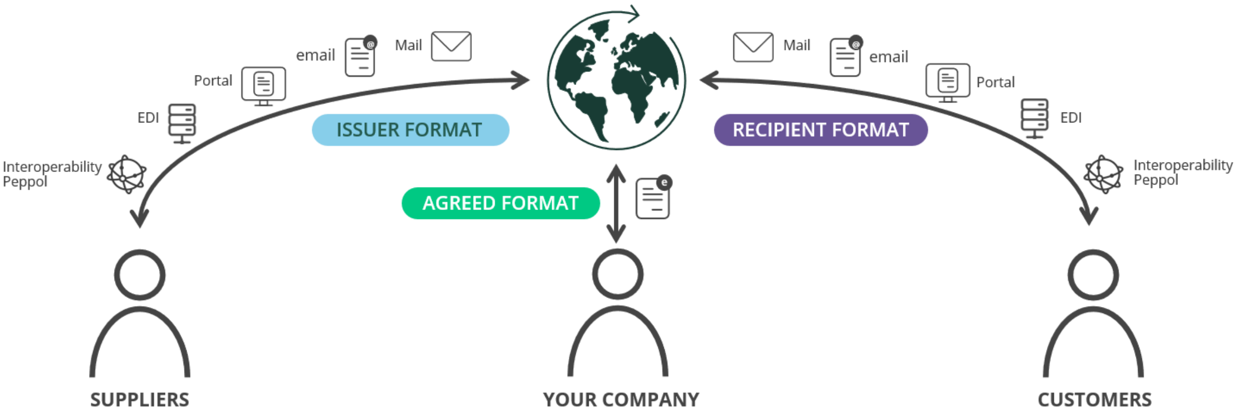
This section outlines how the Pagero General eInvoicing process has been adapted to the local requirements to ensure compliant local processing.

11.1. Document issuance (AR) with Pagero



(1) PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AR and AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners
(2) PAGERO ensures the customer-specific document content, document integrity and authenticity, as well as archiving requirements
(3) PAGERO supports unlimited number of document formats and multiple exchange mechanisms
(4) PAGERO supports such exchange channels as: Interoperability, Peppol, EDI, portal, e-mail, data capturing / scanning, etc.

11.2. Document reception (AP) with Pagero



(1) PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AR and AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners
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(3) PAGERO supports unlimited number of document formats and multiple exchange mechanisms
(4) PAGERO supports such exchange channels as: Interoperability, Peppol, EDI, portal, e-mail, data capturing / scanning, etc.

12. Closing statements

12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.

Revision history

Date	What has changed
11 April 2019	Document created
20 October 2021	Flowcharts amended section 11
1 November 2022	General review and content update
27 July 2023	6.3 Indirect Tax Rates: Added new information about VAT